

GCE A LEVEL MARKING SCHEME

SUMMER 2024 (Predicted)

A LEVEL

ECONOMICS – COMPONENT 3

A520U30-1A – Advanced

About this marking scheme

The purpose of this marking scheme is to provide teachers, learners, and other interested parties, with an understanding of the assessment criteria used to assess this specific assessment.

This marking scheme reflects the criteria by which this assessment was marked in a live series and was finalised following detailed discussion at an examiners' conference. A team of qualified examiners were trained specifically in the application of this marking scheme. The aim of the conference was to ensure that the marking scheme was interpreted and applied in the same way by all examiners. It may not be possible, or appropriate, to capture every variation that a candidate may present in their responses within this marking scheme. However, during the training conference, examiners were guided in using their professional judgement to credit alternative valid responses as instructed by the document, and through reviewing exemplar responses.

Without the benefit of participation in the examiners' conference, teachers, learners and other users, may have different views on certain matters of detail or interpretation. Therefore, it is strongly recommended that this marking scheme is used alongside other guidance, such as published exemplar materials or Guidance for Teaching. This marking scheme is final and will not be changed, unless in the event that a clear error is identified, as it reflects the criteria used to assess candidate responses during the live series.

GENERAL MARKING GUIDANCE

Positive Marking

It should be remembered that learners are writing under examination conditions and credit should be given for what the learner writes, rather than adopting the approach of penalising him/her for any omissions. It should be possible for a very good response to achieve full marks and a very poor one to achieve zero marks. Marks should not be deducted for a less than perfect answer if it satisfies the criteria of the mark scheme, nor should marks be added as a consolation where they are not merited.

For each question there is a list of indicative content which suggest the range of economic concepts, theory, issues and arguments which might be included in learners' answers. This is not intended to be exhaustive and learners do not have to include all the indicative content to reach the highest level of the mark scheme.

The level-based mark schemes sub-divide the total mark to allocate to individual assessment objectives. These are shown in bands in the mark scheme. For each assessment objective a descriptor will indicate the different skills and qualities at the appropriate level. Learner's responses to questions are assessed against the relevant individual assessment objectives and they may achieve different bands within a single question. A mark will be awarded for each assessment objective targeted in the question and then totalled to give an overall mark for the question.

Section A.

1. Tech giants accused of using "dark patterns" to manipulate consumer choices

1 1 Explain what is meant by information asymmetry and how it can lead to market failure. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of information asymmetry including Akerlof's "market for lemons", adverse selection and moral hazard.	3-4 marks <i>Good analysis</i> Strong chains of reasoning linking asymmetric information to misallocation of resources, market breakdown, and welfare loss.
2	3-4 marks <i>Good knowledge</i> Concept understood but key elements (adverse selection/moral hazard) lacking detail.	1-2 marks <i>Limited analysis</i> Weak chains.
1	1-2 marks <i>Limited knowledge</i> Basic definition only.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No relevant knowledge.	0 marks No valid analysis.

Indicative content

AO1

Information asymmetry exists when one party in an economic transaction has more or better information than the other. This violates the neoclassical assumption of perfect information.

Adverse selection: occurs before the transaction – informed parties self-select, leading to a skewed pool of participants (Akerlof's "lemons" in second-hand cars; healthy people opting out of insurance).

Moral hazard: occurs after the transaction – the insured party changes behaviour knowing the consequences fall on someone else (risky behaviour after buying insurance; banks taking excess risk if bailed out).

Principal-agent problem: agents (managers, employees) act in their own interest rather than the principal's (shareholders).

Examples in digital markets: dark patterns, hidden terms, opaque algorithms, consent fatigue.

AO3

Asymmetric information leads to allocative inefficiency: consumers under-consume goods they suspect are "lemons"; over-consume goods whose risks they don't see.

In the extreme, markets can collapse entirely (no buyers willing to pay even for high-quality goods).

In credit markets, adverse selection can lead to credit rationing and inefficient under-lending (Stiglitz-Weiss).

In healthcare and insurance markets, government intervention (NHS, mandates) is often justified to address these failures.

Dark patterns in digital markets exploit consumer information deficits, generating hidden costs and reducing welfare.

Fully credit all other relevant points.

1 2 Discuss the extent to which behavioural economics has challenged the assumptions of traditional neoclassical economics. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of behavioural economics concepts (bounded rationality, heuristics, framing, loss aversion, nudges) and their origin.	5-6 marks <i>Excellent analysis</i> Strong reasoning on how specific findings challenge rational utility maximisation.	6-8 marks <i>Excellent evaluation</i> Two-sided answer assessing the robustness and limits of behavioural insights. Reasoned judgment.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (Behavioural challenges)

Bounded rationality (Simon): individuals lack the cognitive capacity, time and information to make fully rational decisions, instead satisficing.

Heuristics (Kahneman & Tversky): rules of thumb (availability, representativeness, anchoring) cause systematic biases.

Loss aversion and prospect theory: losses hurt roughly twice as much as equivalent gains, contradicting expected utility theory.

Framing effects: the way choices are presented affects decisions, violating rational choice consistency.

Present bias / hyperbolic discounting: people over-value present consumption, under-save for the future (retirement, diet, exercise).

Herd behaviour and social norms: people copy others even when inconsistent with self-interest.

Nudge theory (Thaler): choice architecture can steer decisions – default options, social proof, simplification. Implemented by the UK Behavioural Insights Team.

These findings challenge the core neoclassical assumptions of rationality, self-interest and fixed preferences.

AO1/AO4 (Limits of the challenge)

Rational choice remains a powerful approximation – most big economic decisions (houses, jobs, investments) are made with considerable deliberation.

Markets provide learning and discipline – irrational behaviour is costly and gets corrected over repeated decisions.

Arbitrage can eliminate mispricing in aggregate, even if individual traders are biased.

Experimental findings may not generalise beyond the lab to real market contexts.

Behavioural economics has been criticised for lacking a unified theory – it is a collection of anomalies rather than a systematic alternative.

The "nudge" agenda has had mixed real-world success – some interventions fail to replicate (auto-enrolment strong, many others weaker).

Many findings are incorporated into mainstream economics (information economics, game theory, contract theory) without abandoning rational choice.

Behavioural economics complements rather than replaces neoclassical theory – Richard Thaler himself emphasised they work together.

Qualifiers

Depends on the domain – behavioural effects strong in savings, health, gambling; weaker in high-stakes repeated decisions.

Depends on how we define "rationality" – narrow vs broad.

Behavioural insights have genuinely improved public policy design (pension auto-enrolment, organ donation opt-out).

Fully credit all other relevant points.

2. Premier League clubs investigated by CMA over potential anti-competitive agreements

2 1 Outline what is meant by game theory and explain its application to oligopolistic markets. **[10]**

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of game theory, payoff matrices, dominant strategies and Nash equilibrium. Prisoner's dilemma used well.	3-4 marks <i>Good analysis</i> Strong chains of reasoning showing how strategic interdependence generates stable, often suboptimal outcomes.
2	3-4 marks <i>Good knowledge</i> Concepts partially grasped; Nash equilibrium or payoff matrices may be weak.	1-2 marks <i>Limited analysis</i> Weak chains.
1	1-2 marks <i>Limited knowledge</i> Basic understanding only.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

Game theory is the mathematical study of strategic decision-making where outcomes depend on the actions of multiple interdependent agents (von Neumann, Morgenstern; later Nash).

Key concepts: players, strategies, payoffs, dominant strategy, Nash equilibrium (a stable outcome where no player can improve by unilaterally deviating).

Oligopoly markets exhibit mutual interdependence – each firm's profit depends on its rivals' decisions (price, output, advertising, R&D;).

A payoff matrix can be used to illustrate the classic prisoner's dilemma applied to pricing decisions.

AO3 (application to oligopoly)

Prisoner's dilemma pricing: two firms both better off by colluding (high price), but each has an incentive to defect (cut price). Result: low-price Nash equilibrium despite both preferring the collusive outcome.

Kinked demand curve (Sweezy): rivals match price cuts but not price rises, producing price rigidity – a form of implicit game-theoretic equilibrium.

Tit-for-tat and repeated games: cooperation (collusion) becomes sustainable in repeated games through reputation and retaliation.

Cartels, price leadership and tacit collusion are ways oligopolists try to escape the low-price Nash equilibrium.

Football markets: broadcast rights negotiations, transfer windows and salary co-ordination are classic game-theoretic contexts where CMA investigations arise.

Entry deterrence and limit pricing can be modelled as sequential games (Stackelberg).

Fully credit all other relevant points.

2 2 Evaluate whether price discrimination is always against the consumer interest. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of the three degrees of price discrimination, conditions required, and examples.	5-6 marks <i>Excellent analysis</i> Strong reasoning on consumer and producer surplus effects.	6-8 marks <i>Excellent evaluation</i> Well-developed two-sided answer with reasoned judgment.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (Against consumer interest)

First-degree PD extracts all consumer surplus, transferring it entirely to the producer. Increasingly feasible through algorithmic personalised pricing.

Third-degree PD (by market segment: student, senior, peak/off-peak) charges inelastic segments more – consumers with inelastic demand (often poorest, most desperate, least informed) pay higher prices.

Reduces overall consumer surplus, increasing producer surplus – a transfer from consumers to firms.

Requires market power – price discrimination signals anticompetitive conditions.

Can be used to deter new entrants and sustain market dominance.

"Drip pricing" and hidden charges (common in streaming, airlines, financial services) exploit bounded rationality.

Raises fairness concerns – especially when algorithmic pricing uses data on willingness to pay, income, or location.

AO1/AO4 (Can benefit consumers)

Price discrimination can expand output beyond what a single-price monopoly would produce, reducing deadweight loss.

Some consumers who could not afford the single monopoly price can now access the good (e.g. off-peak rail fares, student discounts, pensioner rates) – increases access.

Second-degree PD (bulk discounts, loyalty programmes) can pass economies of scale on to large customers.

Cross-subsidisation: high-paying segments subsidise low-paying ones, maintaining access for socially desirable groups.

In natural monopolies with high fixed costs, price discrimination can be the only way to cover total costs and keep the service running (rail, utilities, pharmaceuticals).

Can fund innovation: high-income markets pay premium prices which cover R&D; that eventually benefits all (generic drug markets).

Qualifiers

Depends on the degree (first-degree clearly worst, third-degree more mixed).

Depends on the market – life-saving drugs vs airline tickets have very different welfare implications.

Depends on whether PD expands output or simply redistributes surplus.

Depends on regulatory framework and whether firms have other forms of market power.

Fully credit all other relevant points.

Section B.

3. Bank of England independence under political scrutiny after rate hike controversy

3 1 Using a diagram, explain the transmission mechanism of monetary policy. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of the transmission mechanism showing multiple channels. Clear, well-labelled flow diagram.	3-4 marks <i>Good analysis</i> Strong chains of reasoning through each channel (borrowing costs, asset prices, exchange rate, expectations).
2	3-4 marks <i>Good knowledge</i> Most channels identified but development superficial.	1-2 marks <i>Limited analysis</i> Weak chains.
1	1-2 marks <i>Limited knowledge</i> Basic understanding.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

The monetary transmission mechanism describes how changes in monetary policy instruments (Bank Rate, asset purchases) affect AD, output and inflation.

A flow diagram would show Bank Rate → market interest rates → borrowing/saving, asset prices, exchange rates, expectations → consumption, investment, net exports → AD → output and inflation.

The Bank of England typically acts via the MPC setting Bank Rate every six weeks.

AO3 (main channels)

Interest rate channel: higher Bank Rate raises borrowing costs (mortgages, business loans), reducing consumption and investment.

Asset price channel: higher rates reduce bond and equity prices, lowering household wealth and consumer spending (wealth effect).

Exchange rate channel: higher rates attract capital inflows, strengthening the currency – imports cheaper (lower imported inflation), exports dearer (lower X).

Expectations / credibility channel: credible rate changes anchor inflation expectations, feeding into wage/price setting.

Bank lending channel: higher rates tighten credit conditions, further reducing bank lending to firms and households.

QE/QT channel: asset purchases directly affect long-term interest rates and risk premia when Bank Rate is constrained.

All channels affect AD, ultimately influencing output and the price level.

Fully credit all other relevant points.

3 2 Evaluate whether central bank independence has been successful in achieving macroeconomic objectives. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of CB independence (UK 1997, ECB, Fed) and macroeconomic outcomes.	5-6 marks <i>Excellent analysis</i> Strong reasoning linking independence to credibility, inflation anchoring and outcomes.	6-8 marks <i>Excellent evaluation</i> Two-sided, reasoned judgment considering recent challenges (inflation, QE side-effects, democratic accountability).
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (For success)

Independence removes short-term political incentives to inflate the economy pre-election (political business cycles).

Credible commitment to low inflation anchors inflation expectations, reducing the short-run output cost of disinflation (sacrifice ratio).

Time consistency problem (Kydland-Prescott) solved: independent central banks commit to rules rather than falling to discretionary pressures.

UK inflation averaged close to the 2% target for over a decade post-1997 (until 2021-22 shocks), indicating success.

Independence enabled rapid and large response to 2008 crisis (QE, emergency rate cuts) and Covid (further QE, Covid corporate bond facility).

Reduced risk premia on government bonds – lower long-run borrowing costs for the UK.

International consensus (IMF, OECD) that independence improves macroeconomic outcomes on average.

AO1/AO4 (Against / limitations)

Democratic deficit: unelected technocrats make decisions with huge distributional consequences (mortgage holders vs savers, rich vs poor).

QE has had major distributional effects (inflating asset prices, benefiting wealthy), arguably a political decision.

Central banks missed the 2008 crisis and the recent inflation surge – highlighting forecasting limits and model failures.

Post-pandemic inflation (10%+ in the UK) raised questions about whether the Bank acted too slowly, damaging credibility.

Over-reliance on monetary policy leaves fiscal policy overused in crises.

Independence can be formal but not real: recent political interference (Trump, Turkey, Truss premiership) undermines credibility.

Coordination problems with fiscal policy – independent CB tightening can fight expansionary fiscal policy, raising deadweight losses.

Single mandate (inflation) ignores other objectives (employment, financial stability, climate), leading to sub-optimal trade-offs.

Qualifiers

Depends on the definition of success (inflation control vs broader objectives).

Depends on the country context and quality of institutional design.

Recent experience has revealed limits but not necessarily invalidated the principle.

Could complement rather than replace political oversight.

Fully credit all other relevant points.

4. UK economy shows signs of a persistent negative output gap

4 1 Explain what is meant by an output gap and how it might be identified. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of positive/negative output gaps. Accurate AD/AS or Y-time diagram.	3-4 marks <i>Good analysis</i> Strong chains on how indicators (unemployment, capacity utilisation, inflation, wage growth) can reveal output gaps.
2	3-4 marks <i>Good knowledge</i> Concept understood; indicators superficial.	1-2 marks <i>Limited analysis</i> Weak chains.
1	1-2 marks <i>Limited knowledge</i> Basic.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

The output gap is the difference between actual real GDP and the economy's potential (trend) output, expressed as a percentage of potential output.

Negative output gap: actual < potential, implying spare capacity, unemployment above NAIRU, and downward pressure on inflation.

Positive output gap: actual > potential, implying over-utilisation, labour shortages and upward pressure on inflation.

Potential output depends on supply-side factors: quantity and quality of labour and capital, productivity, technology.

AO3 (identification)

Direct measurement is difficult because potential output is unobservable. Econometric techniques (HP filter, production function) estimate it with large uncertainty.

Labour market indicators: unemployment rate relative to NAIRU, wage growth, vacancies-to-unemployed ratio, long-term unemployment.

Business survey data: capacity utilisation rates (e.g. CBI industrial trends survey), PMIs, business investment intentions.

Inflation signals: core inflation below target for a sustained period suggests a negative gap; persistent above-target inflation suggests positive.

Productivity growth: weak productivity may indicate a negative gap or a structurally lower potential.

Bank of England MPC: produces its own estimates using a suite of indicators.

OBR Fiscal Sustainability Report: publishes output gap estimates for fiscal forecasting.

Uncertainty: historical revisions to output gap estimates are frequent and large, complicating real-time policy-making (UK has a well-known "productivity puzzle").

Fully credit all other relevant points.

4 2 Evaluate the most appropriate policy response to a prolonged negative output gap. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of policy options (demand-side and supply-side).	5-6 marks <i>Excellent analysis</i> Strong chains of reasoning on how policies can close the gap.	6-8 marks <i>Excellent evaluation</i> Well-developed two-sided answer, reasoned judgment on policy mix.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (Demand-side response)

Expansionary monetary policy: cut Bank Rate, use QE to lower long-term rates. Channels: lower borrowing costs, currency depreciation, wealth effects.

Expansionary fiscal policy: cut taxes or raise government spending. Multiplier effects amplify the impact in a negative gap.

Automatic stabilisers kick in without delay – benefits and progressive tax structure cushion the downturn.

Forward guidance and commitment to lower-for-longer rates support expectations.

Countercyclical policy avoids hysteresis – prolonged unemployment destroys human capital and permanently lowers potential output.

AO1/AO4 (Supply-side and limitations)

Supply-side reforms (infrastructure investment, education, planning reform, innovation support) raise potential output, shrinking the gap from above.

Risk of fiscal unsustainability: high UK debt (100%+ of GDP) constrains stimulus, particularly in markets sensitive to bond yields.

Monetary policy may be constrained by the Zero Lower Bound, limiting conventional stimulus.

The persistent "productivity puzzle" suggests the output gap may be smaller than estimates imply – stimulating a constrained economy risks inflation rather than growth.

Crowding out and Ricardian equivalence can weaken fiscal multipliers.

Distributional effects of QE (asset price inflation) have raised political concerns.

Structural issues (skills shortages, regional inequalities, Brexit friction) require supply-side, not demand-side, remedies.

Trade-offs: stimulus risks currency depreciation and imported inflation.

Global context matters – if trading partners are also weak, export-led recovery is limited.

Qualifiers

Depends on the cause of the gap (demand shock vs supply weakness).

Depends on the state of public finances and monetary policy space.

Depends on whether it is cyclical or signals lower potential (hysteresis).

Likely a policy mix (fiscal + monetary + supply-side) is optimal.

Fully credit all other relevant points.

Section C.

5. US-China trade tensions trigger a new round of tariffs on electric vehicles and semiconductors

5 1 With the aid of a diagram, explain the economic impact of a trade war on the global economy. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of trade war impacts. Clear welfare-loss diagram with tariff/retaliation.	3-4 marks <i>Good analysis</i> Strong chains linking tariffs to price rises, consumption losses, retaliation spirals and global welfare loss.
2	3-4 marks <i>Good knowledge</i> Diagram accurate but underdeveloped; impacts more superficial.	1-2 marks <i>Limited analysis</i> Weak chains.
1	1-2 marks <i>Limited knowledge</i> Basic; diagram missing/wrong.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

A trade war is a sustained cycle of tariff increases and retaliation between countries, typically initiated as industrial or geopolitical policy.

Tariffs raise the domestic price of imports, reducing imports and consumer surplus, increasing producer surplus and government tariff revenue.

Standard tariff diagram: D/S, world price P_W , tariff raises to $P_W + t$. Two triangles of welfare loss: production inefficiency + consumption inefficiency. A rectangle of tariff revenue. A transfer to producers.

Retaliation: when trading partners impose reciprocal tariffs, effects are amplified.

AO3 (impact on global economy)

Prices rise for consumers in both economies; net real income falls.

Global value chains are disrupted – intermediate inputs cross borders multiple times, so tariffs compound through production stages.

Misallocation of resources: inefficient domestic producers replace cheaper imports – productive inefficiency and deadweight loss.

Uncertainty depresses investment in exporting firms and global FDI flows.

Export industries in both countries suffer retaliation-driven market access loss.

Firms relocate production, incurring adjustment costs.

Global GDP lower – IMF estimates US-China trade war cost global GDP ~0.8% by 2020.

Disproportionate impact on developing countries integrated into global value chains.

Inflationary pressures – tariffs are a tax on imports, passed on to consumers.
Fully credit all other relevant points.

5 2 Discuss whether protectionism can ever be economically justified in a modern interconnected economy. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of arguments for and against protectionism.	5-6 marks <i>Excellent analysis</i> Strong reasoning across infant industry, dumping, strategic trade, national security arguments.	6-8 marks <i>Excellent evaluation</i> Reasoned judgment balancing theoretical justifications against practical costs.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (For justified protectionism)

Infant industry argument (List): temporary protection allows nascent industries to achieve economies of scale and move down the learning curve (Korean/Japanese steel, automobiles).

National security: strategic industries (defence, semiconductors, food, energy) should not be fully exposed to foreign supply risks (current US chip restrictions).

Anti-dumping: tariffs justified when foreign firms sell below cost to destroy domestic competitors.

Protection against unfair practices: subsidies, currency manipulation, IP theft can justify counter-measures.

Optimal tariff argument: a large country can improve its terms of trade through tariffs (though invites retaliation).

Strategic trade theory (Krugman, Brander-Spencer): in imperfectly competitive markets with economies of scale, government support can shift rents to domestic firms.

Labour and environmental standards: tariffs against countries with exploitative labour or poor environmental rules may be justifiable.

Protection of jobs during structural change: reduces adjustment costs, avoids hysteresis in affected regions.

Green protectionism / CBAM: border carbon adjustments protect domestic climate policy from carbon leakage.

AO1/AO4 (Against protectionism)

Comparative advantage shows free trade maximises global output – protectionism is a net loss to the world economy.

Tariffs are a regressive tax on consumers, hitting lower-income households hardest (essential imports).

Protected industries become uncompetitive and dependent on continued protection (capture, lobbying).

Retaliation wipes out any national gains and can escalate unpredictably.

Disrupts global supply chains, raising costs for domestic firms using imported inputs.

Reduces dynamic efficiency: protected firms face less competitive pressure to innovate.

Undermines international rules (WTO) and trust, with long-term systemic damage.

Domestic producers often capture policy for private gain at public cost (public choice).

Structural adjustment is better handled through active labour market policy and redistribution rather than trade barriers.

Qualifiers

Depends on the industry (strategic vs mature).

Depends on whether protection is time-limited and conditional (e.g. conditional on productivity improvements).

Depends on the credibility of the policy commitment to phase out protection.

Depends on the international context – multilateral coordination preferable to unilateral.

Fully credit all other relevant points.

6. World Bank approves \$50bn debt relief for Highly Indebted Poor Countries (HIPC)

6 1 Explain the causes and consequences of unsustainable debt burdens in developing countries.
[10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of causes (commodity shocks, rate rises, currency depreciation, fiscal mismanagement, IMF structural adjustment).	3-4 marks <i>Good analysis</i> Strong chains on consequences (debt service crowding out, austerity, currency crises).
2	3-4 marks <i>Good knowledge</i> Narrower range.	1-2 marks <i>Limited analysis</i> Weak chains.
1	1-2 marks <i>Limited knowledge</i> Basic.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1 (causes)

Historical: 1970s oil shocks and recycling of petrodollars into lending to developing countries. Subsequent commodity price collapse left many unable to service debt.

Commodity price volatility: export-dependent countries see revenues collapse in downturns, while debt obligations remain (Prebisch-Singer).

Exchange rate depreciation: debt typically denominated in USD; local currency depreciation raises real burden (original sin).

Rising global interest rates: 1980s Volcker shock; recent Fed tightening cycle pushed up financing costs for emerging markets.

Fiscal mismanagement and corruption: debt-funded spending on non-productive projects, capital flight to offshore accounts.

Political instability / conflict: reduces revenue, raises security spending, destroys productive capacity.

IMF structural adjustment programmes: austerity and liberalisation sometimes worsened growth and debt sustainability.

Recent: Covid-19 fiscal response, war in Ukraine, climate shocks – exacerbated already high debt in Zambia, Ghana, Sri Lanka, Pakistan.

AO3 (consequences)

Debt service crowds out development spending – health, education, infrastructure starved of funds.

Austerity and fiscal consolidation – painful cuts damage living standards and growth prospects.

Currency crises: debt distress triggers capital flight, forcing devaluations that compound the debt.

Loss of market access: defaulting countries face years of exclusion from international capital markets.

Sovereign default damages banking systems, pension funds, investor confidence.

Social unrest: imposed austerity can trigger protests (Sri Lanka 2022, Argentina).

Environmental damage: pressure to export commodities intensifies deforestation, mining and over-fishing.

Fully credit all other relevant points.

6 2 Evaluate the extent to which debt relief is an effective strategy for promoting sustainable development. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of HIPC, MDRI, and Paris Club / G20 debt frameworks.	5-6 marks <i>Excellent analysis</i> Strong chains on how relief enables investment in human capital and infrastructure.	6-8 marks <i>Excellent evaluation</i> Reasoned judgment considering effectiveness and limits.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Superficial.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (For debt relief)

Relieves debt overhang – countries previously spending 30–40% of revenue on interest can invest in education, health, infrastructure.

HIPC Initiative and MDRI (2005 onwards) freed up billions for development spending; poverty reduction spending in eligible countries rose by ~2% of GDP.

Improved human development indicators: school enrolment, immunisation coverage, child mortality.

Improves creditworthiness and access to future borrowing at lower spreads.

Reduces social tension and political instability.

Supports the UN Sustainable Development Goals.

Conditionality (PRSPs – Poverty Reduction Strategy Papers) channels freed resources to targeted development spending.

Debt-for-nature and debt-for-climate swaps (e.g. Ecuador, Belize) simultaneously address debt and environmental goals.

Sovereign bond spreads fall after debt relief, signalling improved fundamentals.

AO1/AO4 (Against / limitations)

Moral hazard: debt relief encourages reckless future borrowing (countries that receive relief once may expect it again).

Unfairness to prudent creditors: lending countries and private bondholders take haircuts.

Free-rider problems: non-official creditors (private banks, bondholders, increasingly China) may refuse to participate, reducing relief effectiveness.

Conditionality may be ineffective or counter-productive – PRSPs can impose unsuitable policies on governments.

Does not address underlying structural problems – primary product dependency, governance, institutions. Relief without reform is temporary.

Political capture: freed-up resources may be diverted by corruption rather than flowing to poverty reduction.

Recent debt crises (Zambia 2020, Sri Lanka 2022, Ghana 2022) show HIPC did not prevent renewed over-borrowing – countries took on new debt rapidly post-relief.

Complex bondholder landscape (Eurobonds, Chinese bilateral loans) makes coordinated relief much harder than in the 1990s.

Alternative strategies: trade preferences, FDI facilitation, climate finance, institutional reform, migration/remittances may produce more durable development.

Long delays in debt restructuring (Common Framework) during which countries suffer.

Qualifiers

Depends on conditions attached to relief (targeted vs unconditional).

Depends on governance capacity of recipient country.

Depends on whether complementary reforms in creditors (bondholder coordination, G20 Common Framework) are effective.

Debt relief works best as part of a wider development strategy, not alone.

Fully credit all other relevant points.

AO grid

	AO1	AO2	AO3	AO4	Total
1 (a)	6		4		10
1 (b)	6		6	8	20
2 (a)	6		4		10
2 (b)	6		6	8	20
3 (a)	6		4		10
3 (b)	6		6	8	20
4 (a)	6		4		10
4 (b)	6		6	8	20
5 (a)	6		4		10
5 (b)	6		6	8	20
6 (a)	6		4		10
6 (b)	6		6	8	20
Total	36	0	30	24	90

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